

Market Structure

Basic Models

General Types of Markets:

- I. Perfectly competitive market [5 main features]
- II. Imperfect market
 - **Monopoly** – one firm (seller)
 - **Monopsony** – one buyer
 - **Duopoly** – two large firms
 - **Duopsony** – two large buyers
 - **Oligopoly** – few firms
 - **Oligopsony** – few buyers
 - **Monopolistic competition** – many firms selling differentiated products.

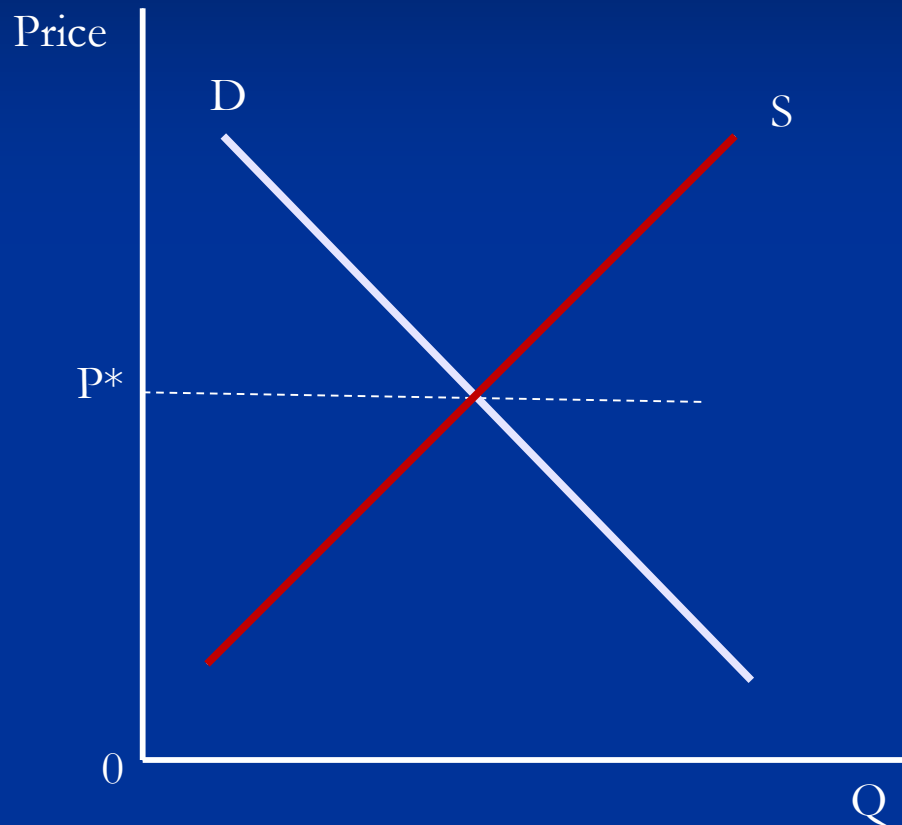
Characteristics of a Perfectly Competitive Market:

1. Smallness of buyers and sellers relative to the size of the market (price takers).
2. Homogeneous product.
3. Absence of artificial restraints or controls (free entry and exit).
4. Perfect mobility of goods and resources.
5. Perfect information.

The Demand Curve Faced by a Perfectly Competitive Firm:

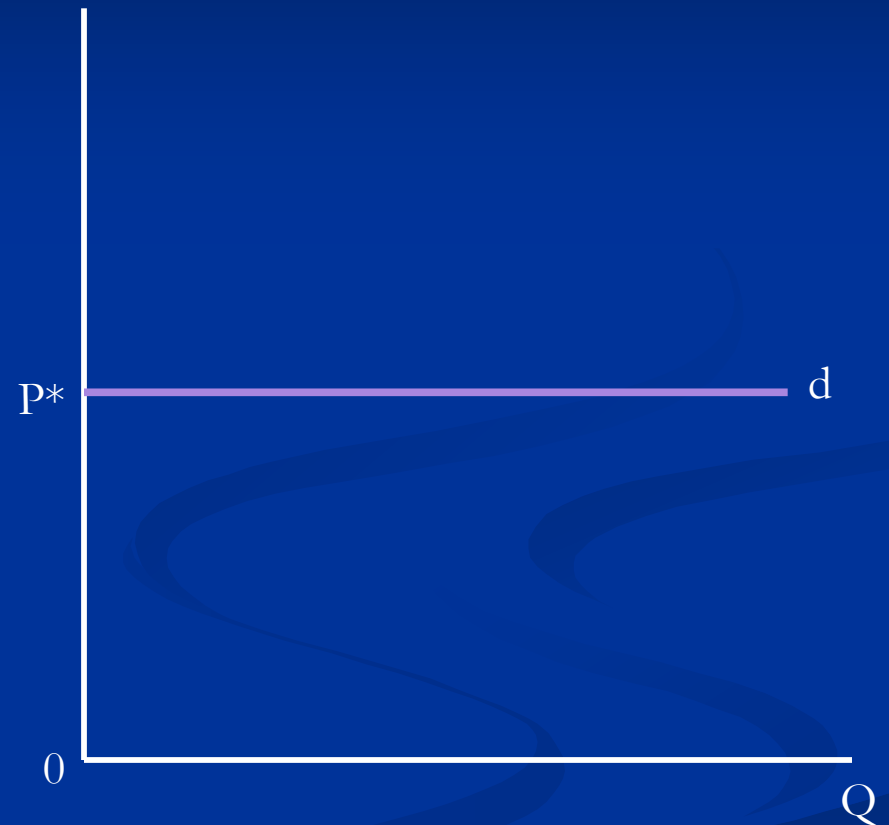
- Since the firm cannot control the market price, owing to its smallness relative to the market, the firm can actually sell as much output as it wants without influencing the price. The firm is said to be a price taker.
- The firm in a perfectly competitive market faces a perfectly elastic demand curve.
- However, the *market* price is still determined by supply and demand.

Market



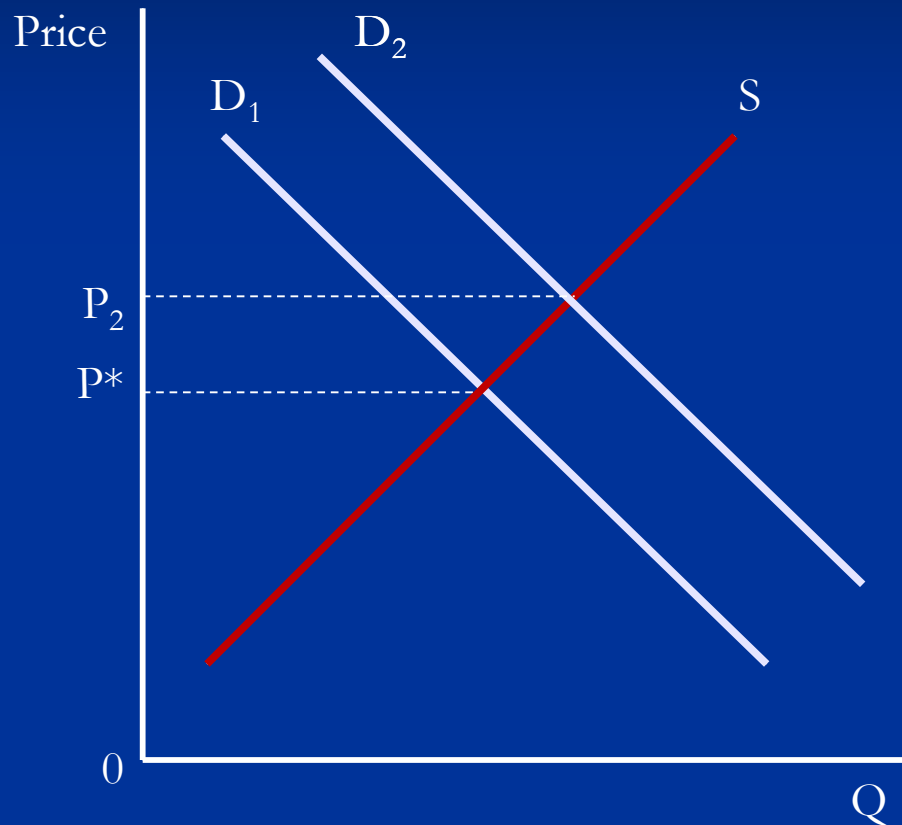
Equilibrium price is determined in the market.

Firm



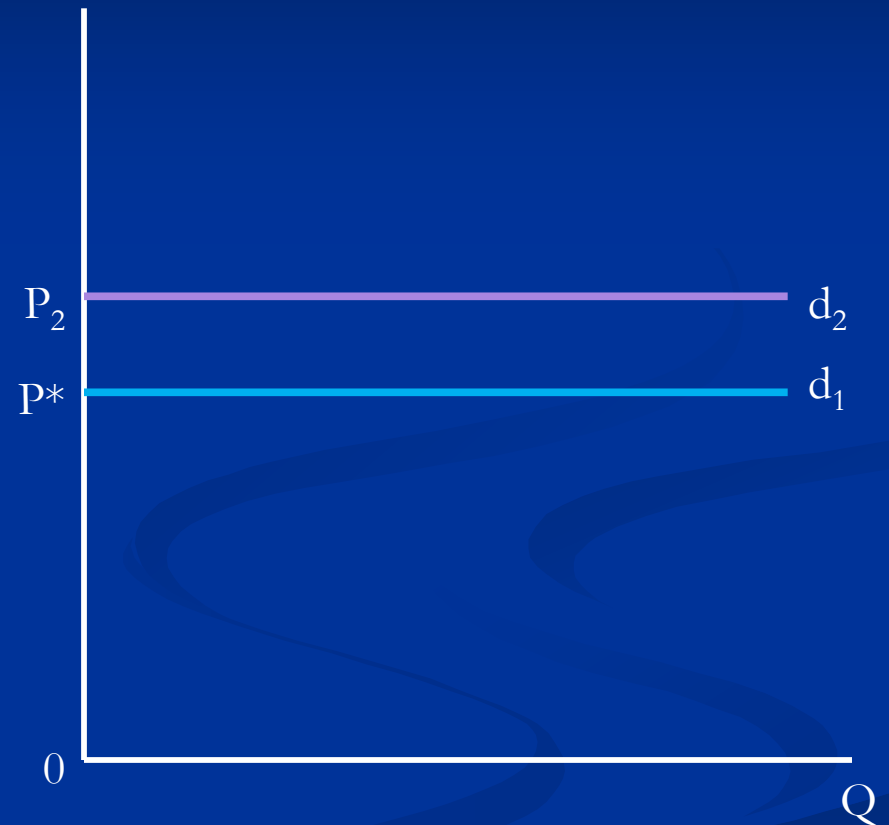
Once determined, a firm can sell as much as it wants at that price.

Market



A change in D or S determines a new equilibrium price in the market.

Firm



Once determined, a firm can sell as much as it wants at the new price.

Monopoly:

- Monopoly is one form of market imperfection.
- Imperfect competition refers to situations where firms have a measure of control over the price of a product.
- A market structure is described as a monopoly if there is only one producer. Thus, the distinction between the firm and the industry disappears under conditions of monopoly.
- The monopolist must make the decision of how much to produce. The monopolist's output decision will completely determine the good's price.
- The monopolist can also set the price of its product but cannot determine both the price and the output nor the prices of the factors of production.

(Cont.)

- A monopolist faces a downward sloping demand curve.
 - This implies that if the firm wants to sell more, it should reduce price; if it wishes a higher price, it should restrict output.
 - In contrast, a perfectly competitive firm, since it has no control over price, faces a horizontal demand curve.
- Being a monopolist does not ensure instant profit. It is not true that the firm can impose any price it wants; maximum price is dictated by market demand.

Characteristics of Monopoly:

- One firm in industry.
- Faces a downward sloping market demand curve.
- No close substitutes.
- Price-maker.
- Blockaded entry and/or exit.
- Imperfect dissemination of information.
- Opportunity for abnormal profits in long-run equilibrium.

Causes of Monopoly:

- **Barriers to entry:** Factors that prevent new firms from entering a market are the source of *all* monopoly power.
- There are two general types of barriers to entry:
 - Technical barriers
 - Legal barriers

Monopolistic Competition:

- On one extreme there is the perfect competition model while on the other there is the monopoly model.
- Monopolistic competition lies between these two extremes.
- A distinguishing characteristic of monopolistic competition is that there are “many” firms in the industry producing *similar* goods or services but each maintains some independent control over its own price.

Characteristics of Monopolistic Competition:

- Low concentration ratio. This is defined as the proportion of total industry output produced by the largest firms (usually the 4 largest).
- Power to set prices somewhat like a monopoly.
- Faces competition like perfect competition.
- Large number of firms:
 - Each firm has a relatively small market share.
 - Each firm must be sensitive to average market price of its product.
 - Collusion is not possible due to the large number of firms.

(Cont.)

- No barriers to entry or exit.
- Independent production decisions – modest changes in the output or price of any single firm will have no big effects on the sales of other firms.
- ***Product differentiation*** – this is one of the most notable features of monopolistically competitive behavior. Each firm makes a product that is slightly different from the products of competing firms.

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- Downward sloping demand curve (but flatter than the curve facing a monopolist because of the existence of substitutes). An attempt to increase price will normally result in a lower volume sold.
- Firms compete on the basis of quality (reliability, service provided to buyer, ease of access to product) and marketing (design, promotion, distribution, packaging).

Product Differentiation

- Products are close substitutes but not perfect substitutes.
- Product differentiation is *crucial* to monopolistic competition.
 - People value variety, even if it is not material (real).
 - Firms differentiate products to establish a brand image. Each firm has a distinct identity – a *brand image*. Consumers perceive its output to be somewhat different than others in the industry. Brands tend to capture in a single name all the values a firm wants to impress upon the buyer.

(Cont.)

- Brand loyalty: By differentiating their products, monopolistic competitors establish brand loyalty.
- Brand loyalty gives producers greater control over the price of their products.
- Each firm has a monopoly only on its brand image.
- Brand loyalty makes the demand curve facing the firm less price-elastic.
- A symptom of brand loyalty is the price differences between computers which are essentially the same.

(Cont.)

Basis for Product Differentiation:

- Physical differences (size, shape, ...etc.)
- Convenience/location.
- Service and support.
- Durability.
- Performance quality (low, average, high, superior).
- Reputation.
- Appeal to vanity (egotism/self-importance).
- Unconscious fears and desires (allergies, weight, falling hair).
- Snob appeal.
- Customized products.
- Distribution channels.
- Reparability (ease of fixing).

Examples of Monopolistically Competitive Industries:

Banks

Radio/TV stations

Clothing stores

Computers

Furniture stores

Canned Foods

Sporting goods

Jewelry stores

Restaurants

Beauty/hair cut saloons

Private hospitals/schools

Hotels

Oligopoly:

- **Oligopoly** is a market in which a small number of firms compete.
- In oligopoly, the quantity sold by one firm depends on the firm's own price and the prices and quantities sold by the other firms.
- The response of other firms to a firm's price and output influences the firm's profit-maximizing decision.

Readings: Samuelson & Nordhaus, Ch. 8 - Sections A & B; Ch. 9 – Section A